

L&T Technology Services Limited

Engineering & Technology Services (ER&D) · October 17, 2025

Target	—
CMP	—
Upside	—

Record-high large deal TCV of ~USD 300 Mn, double-digit YoY revenue growth, and a medium-term USD 2 Bn revenue aspiration underpin a resilient growth trajectory.

L&T Technology Services (LTTS) is a global leader in engineering and technology services and a listed subsidiary of Larsen & Toubro (L&T). The company offers design, development, testing, and sustenance services across products and processes, serving 69 Fortune 500 companies and 57 top ER&D companies. LTTS operates across three segments — Mobility, Sustainability, and Tech — with over 23,670 employees across 23 global design centers, 30 global sales offices, and 105 innovation labs. The company is headquartered in Mumbai, India.

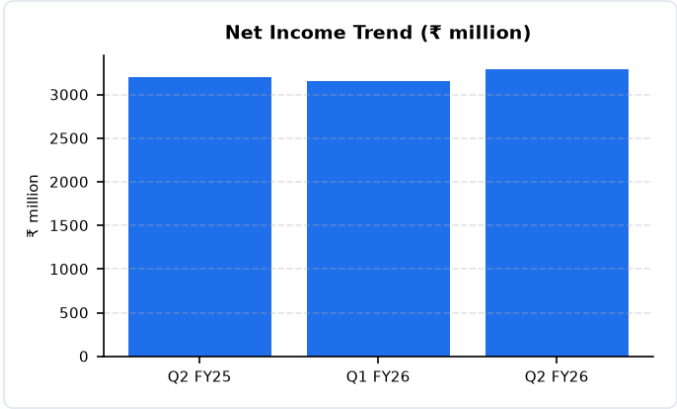
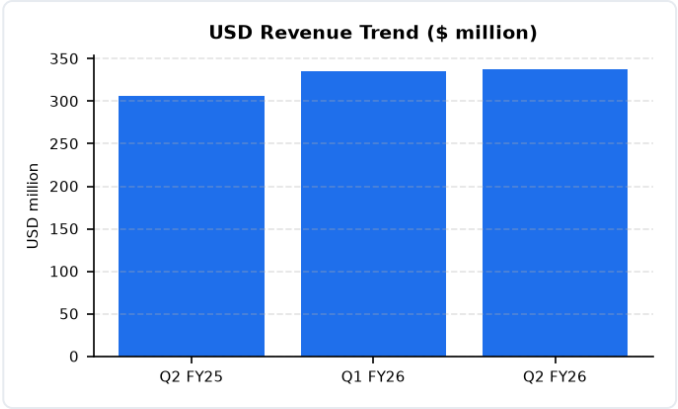
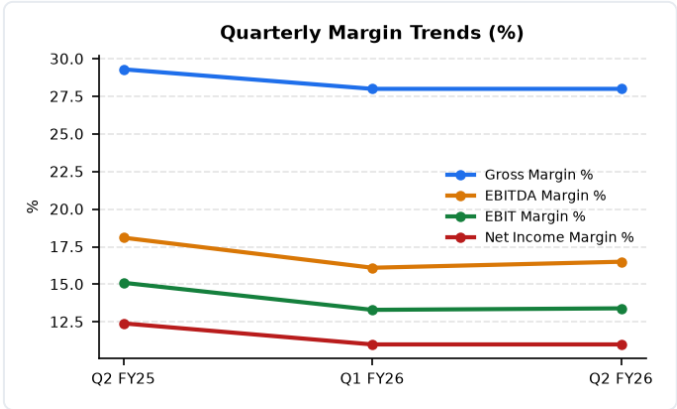
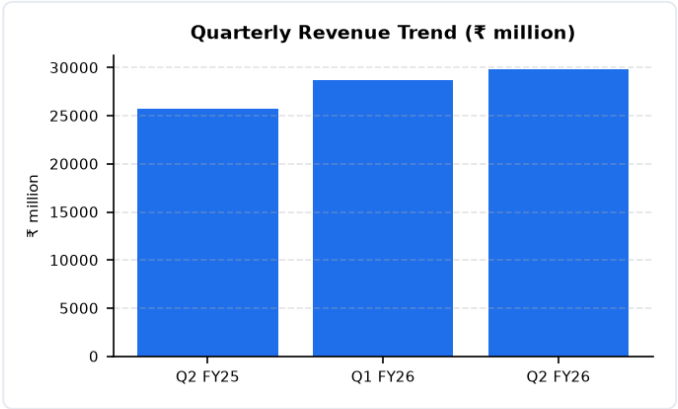
RESULT HIGHLIGHTS

- Q2FY26 Revenue at ₹29,795 million (₹2,980 crore), up 15.8% YoY and 4.0% QoQ.
- USD Revenue at \$337.1 million, up 9.9% YoY and 0.5% QoQ; up 10.4% YoY and 1.3% QoQ in constant currency.
- EBIT at ₹3,982 million; EBIT margin at 13.4% vs 13.3% in Q1FY26 and 15.1% in Q2FY25.
- Net Income at ₹3,287 million, up 4.1% QoQ and 2.8% YoY; Net Income margin at 11.0%.
- Record-high Large Deal TCV of ~USD 300 Mn in Q2FY26, including a \$100 Mn deal in Sustainability and a ~\$60 Mn deal in Tech.
- Sustainability segment grew 3.0% QoQ and 12.6% YoY; Tech segment grew 0.1% QoQ and 28.6% YoY; Mobility declined 1.4% QoQ and 10.1% YoY.
- Interim Dividend of ₹18 per share declared; record date October 27, 2025.
- Total headcount at 23,678; voluntary attrition (LTM) at 14.8%.
- Patent portfolio crossed 1,601 mark, including 216 patents in AI/Gen AI.

CHARTS

COMPANY DATA

BSE Script Code	540115
NSE Symbol	LTTS
Total Headcount	23,678
Active Clients	450
Patents Portfolio	1,601
Interim Dividend (Q2FY26)	₹18 per share
Basic EPS (Q2FY26)	₹31.02
Diluted EPS (Q2FY26)	₹30.97
USD/INR (Period Realised, Q2FY26)	88.39
USD/INR (Period Closing, Q2FY26)	88.79
Voluntary Attrition % (LTM)	14.8%
Global Design Centers	23
Global Sales Offices	30
Innovation Labs	105



KEY HIGHLIGHTS

- Management guides for both revenue and EBIT margins to improve in H2FY26 vs H1FY26, with aspiration for double-digit growth in FY26.
- Medium-term revenue target of USD 2 Bn reiterated, supported by an increased order book and record deal wins.
- AI-first delivery model being built with investments in Gen AI, Agentic AI, and Physical AI; 1% of trailing 12-month revenue now from licenses.
- Sustainability segment now has a USD 50 Mn account on an annual run-rate basis, achieving double-digit annual growth for two consecutive quarters.
- North America remains the largest geography at 54.7% of revenue, growing 14.4% YoY; Europe at 17.3% grew 3.3% YoY.
- Strategic partnerships deepened with SiMa.ai, NVIDIA, hyperscalers, and MIT Media Lab to future-proof the technology backbone.
- Free Cash Flow conversion at 65% of Net Income in YTD FY26 vs 109% in full FY25, reflecting higher working capital needs.
- Mobility segment remains a near-term headwind, declining 10.1% YoY, amid shifting market dynamics and geopolitical unpredictability.
- Active client count at 450 in Q2FY26; \$1 Mn+ clients grew to 205 from 176 in Q2FY25, reflecting healthy client mining.

FINANCIALS

Income Statement (Consolidated) — ₹ million	Q2 FY25	Q1 FY26	Q2 FY26	QoQ	YoY
Revenue	25,729	28,660	29,795	4.0%	15.8%
Cost of Sales	18,192	20,625	21,462	—	—
Gross Profit	7,537	8,035	8,333	3.7%	10.6%
SG&A Expenses	2,877	3,411	3,425	—	—
EBITDA	4,660	4,624	4,908	6.1%	5.3%
Depreciation & Amortisation	783	811	926	—	—
EBIT	3,877	3,813	3,982	4.4%	2.7%
Other Income, net	531	512	498	—	—
Income Tax Expense	1,208	1,164	1,188	—	—
Minority Interest	4	4	5	—	—
Net Income	3,196	3,157	3,287	4.1%	2.8%
Gross Margin %	29.3%	28.0%	28.0%	—	—
EBITDA Margin %	18.1%	16.1%	16.5%	—	—
EBIT Margin %	15.1%	13.3%	13.4%	—	—
Net Income Margin %	12.4%	11.0%	11.0%	—	—
Basic EPS (INR)	30.20	29.81	31.02	—	—
Diluted EPS (INR)	30.12	29.77	30.97	—	—

Balance Sheet (Consolidated) — ₹ million	FY25	Q2 FY26
Property and Equipment	9,063	9,362
Intangible Assets and Goodwill	13,667	13,673
Accounts Receivable	29,165	31,987
Unbilled Revenues	5,953	6,838
Investments	13,096	13,846
Cash and Cash Equivalents	15,658	14,918
Other Current Assets	4,262	3,841
Other Non-Current Assets	5,571	2,851
Total Assets	96,435	97,316
Shareholders' Funds	60,800	61,890
Other Current Liabilities	29,900	28,670
Other Non-Current Liabilities	5,560	6,572
Minority Interest	175	184
Total Liabilities & Equity	96,435	97,316

Cash Flow Summary (Consolidated) — ₹ million	FY25	YTD FY26
Net Cash from Operating Activities	14,811	4,809
Less: Capex	1,018	643
Free Cash Flow	13,793	4,166
Free Cash Flow to Net Income %	109%	65%

Revenue by Segment (% of USD Revenue)	Q2 FY25	Q1 FY26	Q2 FY26	QoQ Growth	YoY Growth
Mobility	35.5%	29.6%	29.0%	-1.4%	-10.1%
Sustainability	30.8%	30.8%	31.6%	3.0%	12.6%
Tech	33.7%	39.6%	39.4%	0.1%	28.6%

Revenue by Geography (% of USD Revenue)	Q2 FY25	Q1 FY26	Q2 FY26	QoQ Growth	YoY Growth
North America	52.5%	54.1%	54.7%	1.7%	14.4%
Europe	18.4%	17.1%	17.3%	1.5%	3.3%
India	21.9%	21.0%	21.5%	3.0%	8.1%
Rest of the World	7.2%	7.8%	6.5%	-15.9%	-0.4%

Other Income Breakdown — ₹ million	Q2 FY25	Q1 FY26	Q2 FY26
Income from Investments, net	333	305	272
Foreign Exchange Gains/(Loss)	251	344	60
Others	-53	-137	166
Total Other Income	531	512	498

Employee Statistics	Q2 FY25	Q1 FY26	Q2 FY26
Total Headcount	23,698	23,626	23,678
Billable	22,185	21,962	22,000
Sales & Support	1,513	1,664	1,678
Voluntary Attrition % (LTM)	14.3%	14.8%	14.8%

This report is based on the Q2FY26 investor release published by L&T Technology Services Limited on October 17, 2025. Certain statements may be forward-looking and involve risks and uncertainties. L&T Technology Services Limited does not undertake to update any forward-looking statement. This document is for informational purposes only and does not constitute investment advice.